NVIDIA Corp Earnings Call View on the Bloomberg Terminal

08/28/24

Guidance

- • Q3 FY25 guidance: Revenue of $32.5B ±2%, GAAP/non-GAAP gross margins of 74.4%/75.0% ±50bps, GAAP/non-GAAP operating expenses of $4.3B/$3.0B, and tax rate of 17% ±1%
- • Full year FY25 guidance: Gross margins expected in mid-70% range, operating expenses to grow in mid-to-upper 40% range
- • Q4 FY25 Blackwell revenue expected to be several billion dollars
- • Software, SaaS and support revenue expected to approach $2B annual run rate by end of year
- • Sovereign AI revenue projected to reach low double-digit billions this year

Margin Story

- • Q2 GAAP gross margins were 75.1% and non-GAAP gross margins were 75.7%, with the sequential decline attributed to higher mix of new data center products and inventory provisions for low-yielding Blackwell material
- • For Q3, the company expects GAAP gross margins of 74.4% and non-GAAP gross margins of 75%, plus/minus 50 basis points
- • The company expects margins to continue trending down in Q4 2025 as data center mix shifts to new products, but full-year gross margins are expected to remain in the mid-70% range
- • Management clarified that Q4 margins would not drop as low as 71-72% as some analysts suggested

AI Strategy

- • The world is transitioning from human-engineered algorithms to AI/ML, where models learn functions from data rather than having explicitly programmed algorithms
- • Frontier AI models continue to scale dramatically, requiring 10-20x more compute power for next-generation models
- • Inference (running trained AI models) represents a significant portion of data center revenue
- • Enterprise AI adoption is accelerating across major companies for applications like chatbots, copilots and customer service
- • Countries are investing in "sovereign AI" infrastructure to develop their own AI capabilities
- • NVIDIA's software and AI enterprise platform is becoming a significant business

Cloud Strategy

- • Cloud service providers represented approximately 45% of NVIDIA's data center revenue
- • Cloud providers are increasing NVIDIA capacity due to high demand and broad adoption
- • Cloud GPU capacity is extremely limited, with most being used internally for data processing or being rented to AI companies and startups
- • AI startups are spending tens of billions annually on cloud capacity
- • NVIDIA's software and AI tools are available across all major cloud providers

Orders

- • Demand for Hopper architecture GPUs remains strong while demand for upcoming Blackwell products is described as "incredible" and "well above supply"
- • The company indicates that Hopper supply and availability have improved
- • Cloud service providers have essentially no GPU capacity available due to high internal usage and customer demand

Inventory

- • Channel inventory for gaming products remains healthy
- • The company took inventory provisions related to low-yielding Blackwell material, which negatively impacted gross margins
- • Hopper supply and availability have improved

Competition

- • NVIDIA expects the China market to be very competitive going forward
- • NVIDIA's GPUs are described as having unique capabilities in data processing, being "the only accelerators on the planet that process and accelerate data"

Market Share

- • China's share of data center revenue is below pre-export control levels
- • Cloud service providers represent about 45% of data center revenue, while consumer/internet/enterprise companies account for over 50%
- • For data center revenue, inference workloads account for over 40% over the past four quarters

Capital Allocation

- • In Q2, NVIDIA spent $7.4 billion on shareholder returns through share repurchases and cash dividends
- • The board approved a new $50 billion share repurchase authorization, adding to the remaining $7.5 billion authorization from Q2
- • The company increased its dividend per share

M&A

- The only mention of M&A in the document was a brief reference to ZT being recently purchased

Labor

- • Operating expenses increased sequentially due to higher compensation-related costs
- • The company expects operating expenses to grow significantly in the coming year as they work on new product development

Macro Environment

- • A brief mention of "computing inflation" in a technical context, but this refers specifically to computing costs rather than broader economic inflation
- • Some discussion of gaming revenue, but this focuses on specific product performance rather than broader consumer trends

Supply Chain

- • NVIDIA works with a distributed network of ODMs and OEMs for system integration, including partners like Quanta, Foxconn, HP, Dell, Lenovo, Supermicro, Gigabyte, and ASUS
- • The company prefers to be a technology provider rather than an integrator, letting their supply chain partners handle system integration close to customer data centers
- • Hopper supply and availability have improved
- • The company made changes to the Blackwell GPU mask to improve production yields

Pricing

- The only direct pricing reference in the document was regarding NVIDIA AI Enterprise software pricing at $4,500 per GPU per year
- There was also a mention that NVIDIA's software business is approaching a $2 billion annual run rate

Product Development

- • NVIDIA made a change to the Blackwell GPU mask to improve production yields, with production ramp scheduled to begin in Q4 2024 and continue into fiscal year 2026
- • The company expects to ship several billion dollars in Blackwell revenue in Q4, with demand exceeding supply
- • Spectrum-X networking products doubled sequentially and are on track to become a multi-billion dollar product line within a year
- • The H200 platform began ramping in Q2, offering 40% more memory bandwidth than H100
- • Blackwell represents a complete platform including multiple components developed over 5 years